DIVERSYFUND · EDUCATIONAL BRIEF

Reading real estate market cycles

How rate, credit, and supply cycles create acquisition windows — and why private capital can act when banks cannot. Educational only. Not an offer.

Why cycles matter

Income strategies are timed to the cycle — not the last-quarter headline. Allocators who only watch the last print miss the multi-year forces that set basis, credit availability, and exit windows.

Rates reprice assets

When policy rates rise sharply, cap rates follow and values fall. Owners who bought or refinanced at the peak face maturities the conventional market cannot clear.

Supply swings

Delivery waves create near-term rent pressure and distress. Collapsed construction starts then set up structural undersupply — the exit environment patient capital waits for.

Credit freezes

When banks pull back from CRE, refinance paths disappear. That is painful for leveraged owners — and the opening for private all-cash buyers and lenders.

Distress appears

Direct sales, bank REO, and discounted notes are different paths — each with its own hold, legal, and operator requirements.

This cycle's four forces

Aligned with how we describe the opportunity in the DF Income business plan — educational framing, not a forecast.

1. **Rate shock.** The fastest tightening cycle in roughly four decades forced multifamily valuations down and stressed floating-rate bridge debt.
2. **Oversupply → undersupply.** Record deliveries, then starts collapse. Near-term pressure; forward path toward tighter supply as the overhang clears.
3. **Bank retreat.** Regional CRE lending pulled back. Motivated note and REO sellers appear at discounts leveraged buyers cannot reach.
4. **Forced sellers.** Mom-and-pop maturity defaults, bank REO, and discounted notes — transactions that require speed and certainty of close.

A practical checklist

- **Where is credit?** If banks are not lending against the asset class, private capital sets the clearing price — and the timeline.

- **Where is supply?** Are you buying into peak deliveries or into the trough after starts collapse? Basis and exit depend on the answer.
- **Where is distress?** Direct sales, REO, and note sales are different paths.
- **What is the exit?** Every acquisition needs at least two viable exits at the acquisition basis. Cycles punish single-path hope.

How this brief sits next to the offering

Market-cycle literacy is context. The business plan and PPM are the commitment documents. This page does not replace either. After the brief: investor summary, business plan, and PPM — in that order for most accredited allocators.
